gets possession of the goods immediately on signing the contract the ownership does not pass on till the payment of last instalment. The buyer prefers to pay a lump sum or a part of the price initially i.e., down payment and the balance in instalments as per the contract. The seller continues to be the owner of the article till then. If the buyer commits a default in payment, the seller is entitled to repossess the article. It is also a form of credit sale. Only durable articles like television, air conditioner, refrigerator, washing machines, etc., are suitable for hire sale.

Instalment system is a type of purchase in which the price amount of the product is not paid initially but in instalments. It is also called as **deferred payment system**. Under this system, title or ownership of articles as well as possession is passed on to the buyer as soon as the first instalment is paid. On default of payment, the seller cannot seize the article but recover the dues through court.

6. Mail Order Houses

Mail order houses are the retail outlets that sell their merchandise through mail. There is generally no direct personal contact between the buyers and the sellers in this type of trading.

Procedure

1. Advertisements provide information about the products to consumers
2. Order receiving and processing

   On receiving the orders, the goods are sent to the customers through the post office by Value Payable Post (VPP).
3. Receiving Payments

The customers may be asked to make full payment in advance or at the time of receiving the goods In this arrangement, there is no risk of bad debt. Perishable goods like milk are not suitable for sale by mail order. Suitable goods are books, watches, etc.

7. Automatic Vending Machines (AVM)

Automatic vending machine is a new form of direct selling. It is a machine operated by coins or tokens. The buyer inserts the coin or the tokens into the machine and receives a specified quantity of a product from the machine. AVMs are placed at a convenient



location such as railway stations, airports, petrol pumps, etc.

Example Aavin Dairy Milk through AVMs

8. Shopping Malls

Shopping malls are developed due to change in departmental stores in modern time. A shopping mall functions in a multi-storey building. Many small to big shops are commenced under the separate

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